IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH

CP (CAA) NO.16/ALD/2021
connected with
CA (CAA) NO.20/ALD/2021

In the matter of
The Companies Act, 2013
And
In the matter of Sections 230-232, Section 66 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016
And
In the matter of

V. K. BAJAJ INVESTMENT PRIVATE LIMITED (CIN: U65993UP1980PTC004974), a Company incorporated under the Companies Act, 1956 (now Companies Act, 2013) having Registered Office at 56, Model Town, Ghaziabad – 201009 (U.P.) (hereinafter referred to as the "Transferor Company");

…….(Transferor Company/ Petitioner Company-I)

WITH

A. K. BAJAJ INVESTMENT PRIVATE LIMITED(CIN: U65993UP1980PTC004972), a Company incorporated under the Companies Act, 1956 (now Companies Act, 2013) having Registered Office at 56, Model Town, Ghaziabad – 201009 (U.P.) (hereinafter referred to as the "Transferee Company").

…….(Transferee Company/ Petitioner Company-II)

Order reserved on: 29.11.2021
Order pronounced on:07.12.2021

Coram:

Shri Rajasekhar V. K.	**:**	**Member (Judicial)**
Shri Virendra Kumar Gupta	**:**	**Member (Technical)**

Appearances (via videoconferencing):
Mr. Anil Kumar, Practising Company Secretary.

ORDER

Per: Virendra Kumar Gupta., Member (Technical)

1. The petitioners filed the joint application/petition under section 230-232 and other applicable provisions of the Companies Act, 2013, praying for the sanctioning of the

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Scheme of Amalgamation of V. K. Bajaj Investment Private Limited (Petitioner Company No. 1/ "Transferor Company") with A. K. Bajaj Investment Private Limited (Petitioner Company No. 2/ "Transferee Company").

2. The Petition has now come up for final hearing. Ld. Counsel for the petitioners submits as follows:-

   i. The proposed 'Scheme of Amalgamation' has previously been approved by the Board of Directors of the Petitioner Transferor Companies and the Petitioner Transferee Company in their respective Board meetings held on 12.07.2021.

   ii. The factual position of the Authorized, Issued, Subscribed and Paid up share Capital of the Petitioner Companies as on 31st March, 2021 is described in the present Company Petition.

3. It may be noted here that both the Transferor Company and the Transferee Company are non-banking finance companies (NBFCs) having the same business activities and are primarily holding investments in the Group companies. Both the companies have been promoted by the same promoters and belong to the same group. The amalgamation of the Transferor Company with the Transferee Company would result in the following benefits:

   i. The Transferor Company and the Transferee Company are the Group companies. Both the companies are non-banking finance companies (NBFCs) having the same business activities. The amalgamation will result in consolidation of the businesses leading to benefits of economies of scale besides other synergetic advantages which are complementary to each other and can be conveniently combined with one another for mutual benefits;

   ii. The amalgamation is expected to accomplish considerable managerial and administrative efficiencies due to operational synergies thereby reducing administrative expenses.

   iii. The Scheme will culminate into single effective entity, which will be much better placed to achieve the objects more efficiently. It will also economize resources and

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synergies in operation. It is, therefore, in the interest of the stakeholders of both the companies as amalgamation will lead to increase in share holders' value.

iv. The amalgamation will result in larger pool of financial and other resources which will enable the combined entity to comply with the applicable prudential norms issued by the Reserve Bank of India;

v. The combined pool of financial, managerial, technical and other resources will lead to efficient utilization of capital and enhanced competitive ability in the financial markets.

vi. The amalgamation will be beneficial and in the interest of all the stakeholders, including shareholders and employees of both the Transferor as well as the Transferee company.

4. Previously, the Petitioner Companies had filed Company Application No. 20/ALD/2021 under Section 230 read with Section 232 of the Companies Act, 2013 seeking to dispense the requirement of convening the separate meetings of the Equity Shareholders and Secured Creditors and Unsecured Creditors of the Petitioner Companies. This Tribunal, vide its order dated August 31, 2021 allowed the prayer for the dispensation of the meetings made in C.A.(CAA) No. 20/ALD/2021.

5. On September 13, 2021, the Petitioner Companies filed the Second Motion petition being Company Petition (CAA) No. 16/ALD/2021. This Tribunal, vide its order dated September 28, 2021, directed the Petitioner Companies to serve notice upon the Regional Director (North), the Registrar of Companies, Uttar Pradesh at Kanpur, the Official Liquidator at Allahabad, the Income Tax Authorities of the respective Petitioner Companies and other sectoral authorities for filing their representation and also directed to effect newspaper publication in "Jansatta" in Hindi edition, and "Financial Express" in English edition, having circulation in the District Ghaziabad, where the registered office of the Petitioner Companies is situated. The Petitioner Companies complied with the directions and filed an Affidavit of Service on October 23, 2021.

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6. In response to such notice, the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, submitted its report by way of representation/affidavit, appending thereto the report of the Registrar of Companies, Kanpur. The Official Liquidator has also submitted its affidavit. The respective assessing authorities of Income Tax Department of the Petitioner Companies have not communicated any objection to the Tribunal during the statutory period for the purpose, from which it is presumed they have no objection to the Scheme of Amalgamation.

7. In response to the above stated Notices to the Official Liquidator, High Court, Allahabad and the Regional Director (Northern Region), New Delhi, submitted their reports through a representation/Affidavit, wherein they have not raised any objection against the scheme of Amalgamation. No reply/representation is received from Jurisdictional Income Tax Departments, hence it is assumed that the Income Tax Authorities are having no objection to the Proposed Scheme. No objector has approached neither to the Transferor Company nor before the Tribunal to oppose this scheme of amalgamation.

8. We have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Registrar of Companies, Uttar Pradesh, Kanpur and the Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh. We find that there is no reservation to grant sanction to the Scheme.

9. In the result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and sanctioned. The Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Scheme and the same shall be binding on all the Shareholders of the Petitioner Companies and also on the Petitioner Companies with effect from the Appointed Date, *i.e.*,1st day of April, 2021.

10. While approving the Scheme as above, it is clarified that this order should not be construed as in any way granting exemption from payment of stamp duty (if any, is applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission/ compliance with any other

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requirement which may be specifically required under any law. Also, the Petitioner Transferor Company No.1 and Petitioner Transferor Company shall stand dissolved without undergoing the process of winding up.

11. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies, Uttar Pradesh for registration.

12. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar of this Bench.

13. Leave is granted to the Petitioners to file the Schedule of Assets of the Transferor Company in the form as prescribed in the Schedule of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within three weeks from the date of receiving a copy of this order;

14. Urgent certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

15. Company Petition (CAA) No. 20 /ALD/2021 is disposed of accordingly.

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(Virendra Kumar Gupta)
Member (Technical)

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(Rajasekhar V K)
Member (Judicial)

Swati Gupta
(LRA)